

# VWAP Rejection · Intraday Continuation

## Concept

VWAP is the volume-weighted "fair price" of the day — institutions defend it. A clean rejection (wick into VWAP, body back on the trending side, with a pin or engulfing close) is a continuation trade. The H1 50-EMA trend filter keeps us on the right side of higher-timeframe flow.

## Rules

- H1 trend — H1 close above/below the 50-EMA, EMA sloping the same way.
- Touch — Bar's wick crosses VWAP, body closes back on the trending side.
- Displacement — Close  $0.3 \times \text{ATR}$  away from VWAP (not lingering on it).
- Confirmation — Last bar is a pin bar OR engulfing in the trade direction.

## Entry

- Market at trigger close (no retracement limit).

## Stop loss

- $0.5 \times \text{ATR}$  beyond the wick extreme (then widened by STOP\_PAD).

## Take profit

- TP1:  $1.2 \times \text{risk}$  · TP2:  $1.8 \times \text{risk}$  (uniform reward profile).

## When to skip

- H1 trend disagrees with the day's VWAP side.
- Range-bound tape ( $\text{ATR-15m} < 0.4 \times \text{ATR-H1}$ ).

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## Backtest Results (3-day walk-forward)

Trades: 8 · 2.67 per day

Win rate: 63% · Avg winner: 0.83 RR

Expectancy: 0.17 R per trade · Profit factor: 1.47

Result vs target (60% win, 1.2 RR): PASS